Annexure -B

EXPLANATIONS TO VARIATIONS FROM THE APPROVED ARR&ERC FOR FY 2024-25
COCHIN SPECIAL ECONOMIC ZONE AUTHORITY

Sl. No.	Item	ARR Approved(MYT Order dated 19.1.2024) (Rs. Lakhs)	Actual (Rs. Lakhs)	Reasons for variations
1	Energy Purchase from KSEBL, Distribution Loss and Power Purchase Cost	3950.92	4095.01	CSEZA had Projected 56.40 MU energy purchase from KSEBL considering 56.95 MU energy sale, 1.37 MU from solar plants and with projected distribution loss of 1.42 %. Accordingly, Power purchase cost of Rs 3950.92 lakh, was projected in MYT petition for FY 2024-25. KSERC has approved CSEZA's projection of Distribution loss, Energy Sale, Energy Purchase (MU) from KSEBL and Power Purchase Cost. Actual purchase for 2024-25 was 58.02 MU with a total purchase cost of Rs. 4099.01 lakh **(refer form No. D3.1 (2024-25) Actuals**. . The increase in Power Purchase cost from Projection/ Approval is due to the increase in power purchase quantum. There was an increase of 1.62 MU energy purchase in FY 2024-25 compared to the Projection/Approval The average power purchase cost of Rs 7 /unit was projected by CSEZA but actual average cost came to Rs.7.06 per unit. It is brought to the attention of Honorable Commission that the actual distribution loss realized is 1.576% for 2024-25 as against 1.421 % approved by Commission vide ARR order. The Details of Distribution Loss are given in form No **D6.2(2024-25) Actuals and calculation of the same is given in Annexure C to the Truing Up petition**
2	O & M Expenses	217.82	193.73	Honorable Commission had approved Rs 217.83 lakh as total O & M expenses for FY 2024-25 as per the norms approved by KSERC in KSERC (Terms and Conditions for Determination of Tariff) Regulations 2021 as against CSEZA's projection of Rs 228.49 lakh (Employee Expenses 165.26 + R & M Expenses -22.06 + A & G Expenses -41.17) in the MYT petition. Actual total O & M expenses for FY 2024-25 came to Rs 193.73 lakh. Please see details given in form No. D **3.4** and the description of petition.
2.1	Employee Expenses	174.07	140.22	CSEZA had projected employee expenses of Rs 165.26 lakh in the MYT petition for FY 2024-25. Honorable Commission vide MYT Order dated 19.1.2024 had approved Rs.174.07 lakh as employee expenses as per norms approved in Regulation 80(2) of the Tariff Regulations, 2021.An amount of Rs.109.76 lakh was paid in FY 2024-25 to the outsourced O&M agency as annual fee towards man hour charges for the O&M services provided by them. Further, Rs. 30.46 lakh was apportioned as proportionate employee cost of CSEZ staff who are working for Power Distribution Business. As such, the total employee expenses for FY 204-25 came to Rs. 140.22 lakh as against Rs 165.26 lakh projected by CSEZA in the MYT petition. Details are given in **form No. D3.4(a).**

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2.2	Administration & General Expenses	37.24	43.45	CSEZA had projected A & G expenses of Rs.41.17 lakh for FY 2024-25 in the MYT petition. Honourable Commission vide MYT order dated 19.1.2024 had approved only Rs 37.24 lakh as A & G expenses expense as per norms approved in Regulation 80(2) of the Tariff Regulations, 2021. The total A&G expenses incurred for 2024-25 was Rs. 43.45 lakh. The increase in A & G expenses from approved amount is mainly due to increase in the charges paid to the Agency for Monitoring and Managing Prepaid Metering system, VSAT internet and related charges, electricity (Own consumption of 110kV Substation and Electrical Lab) and water charges as well as due to increase in inspection fee paid to Electrical Inspectorate. The details of the breakup of these expenditures are explained in **Form No. 3.4(b).**
2.3	Repairs and Maintenance Expenses	6.51	10.06	CSEZA had projected R&M works of value Rs 22.06 lakh in the MYT petition. KSERC has approved only Rs 6.51 lakh as per norms in tariff Regulations 2021 The actual R & M expenses incurred during the year 2024-25 was Rs 10.06 Lakh. It is humbly requested to Honorable Commission to approve all the above R & M works without liming expenses to the approved norms in Tariff regulations/MYT order as these were done to ensure continuous and reliable power supply to consumers. Being a Power Distribution Licensee it is the responsibility of CSEZA to ensure and provide reliable/quality & continuous power supply to consumers complying to the KSERC Standards of Performance Regulations, Supply Code and CGRF Regulations. It is noted that Honorable Commission while fixing the norms for R & M expense for MYT period in the tariff Regulation 2021, had considered only the actual expenditure incurred for FY 2018-19 only (as per Truing Up 2018-19) with cost escalation. As explained earlier, there could be more works in different years based on the periodicity/frequency of intervals for certain routing works and there could be additional/ emergency/one time works to be done to ensure reliable and continued power supply to consumers meeting the KSERC regulations and standards. In view of the above, it requested to kindly approve the expenses for all the R&M works for FY 2024-25 as actually incurred & claimed in the petition. For Details, please refer Form No **D 3.4 (c).**
3	Depreciation	37.81	90.33	CSEZA had projected a depreciation of Rs.114.30 lakh for FY 2024-25. Honorable Commission vide MYT order dated 19.1.2024 had approved only Rs 37.81 lakh as depreciation for FY 2024-25 stating that the assets created out of accumulated surplus from FY 2016-17 onwards are not eligible for depreciation. The actual depreciation for FY 2024-25 worked out to Rs. 90.33 lakh. This actual depreciation claimed includes the depreciation provided for the year for the already existing assets.

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				Though CSEZA had projected asset additions in FY 2024-25, CSEZA could not implement the same in year 2024-25. Details of fixed assets and depreciation claimed for FY 2024-25 are given in form No. D 3.5(2024-25)- Actuals and details of Asset additions made in FY 2024-25 is given in form No. D 4.2(2024-25) Actuals
4	Return on Net Fixed Assets	20.57	61.90	Return on Investment to the tune of Rs.72.90 lakh was projected by CSEZA in the ARR&ERC MYT petition for FY 2024-25 being 5.5% of NFA (Rs 1325.46 lakh) at the beginning of the financial year. Honorable Commission vide MYT Order dated 19.1.2024 had approved only Rs 20.57 Lakh as return on NFA stating that "The licensee has created assets from 2016-17 using their accumulated surplus. Since the same has no cost of funds, the return on NFA is not allowable for the said assets". The actual Return on NFA now claimed in this truing up petition is Rs.61.90 lakh being 5.5 % of the actual NFA at the beginning of year 2024-25 (Rs.1125.37 lakh). Details are given in form No. D 3.8.
5	Revenue from Sale of Power	4173.71	4295.24	In FY 2024-25, 58.378 MU of energy was sold to different categories of consumers, as against CSEZA's projection for 56.95 MU in the MYT petition. This increase in energy sale was due to the increased energy demand by consumers especially due to the load addition in new SDF #3 and new ZLD plant in addition to the volatile load increase due to export markets. Honorable Commission approved 56.95MU energy sale in the MYT order. CSEZA had projected Rs.4173.71 lakh as Revenue from Sale of Power for FY 2024-25 and Honorable Commission had approved the same vide MYT Order dated 19.1.2024. The actual Revenue from Sale of Power for FY 2024-25 came to Rs. 4295.58 lakh. The increase in Revenue from Sale of Power from projection /approval is mainly due to the increase in energy consumption by consumers (1.428 MU increase from MYT projection/approval). Details are given in Form No. D 2.1(2024-25)-Actuals.
6	Non-Tariff Income	71.50	132.21	CSEZA had projected a Non-tariff Income of Rs 71.50 Lakh for FY 2024-25 in MYT petition. Honorable Commission in their MYT order dated 19.1.2024 had approved Rs 71.50 lakh as Non-Tariff Income. The actual Non-Tariff Income during the period came to Rs 132.21 lakh. The increase in Non-Tariff Income from Projection/Approval was due to the increase in FD interest. FD interest was increased since Capital Expenditure planned earlier for FY 2024-25 using amount from FDs could not be implemented in FY 2024-25 thereby yielding more FD interest...Details of Non-Tariff Income is given in form No. D 2.4.

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